BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - III

India's Trade Policy

Syllabus Topics Covered

- Trade policy: nature, meaning, significance, functions, advantages
- Magnitude and direction of Indian international trade
- Bilateral and multilateral trade agreements
- EXIM policy and role of EXIM Bank
- Balance of Payments: structure and major components
- Causes for disequilibrium in BoP; correction measures

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Trade Policy - Meaning and Nature

1.1 Meaning

Trade policy is the set of **rules, regulations, taxes, incentives and agreements** adopted by a government to control and promote its **exports and imports**. India's trade policy is called the **Foreign Trade Policy (FTP)** (earlier called EXIM Policy), announced by the **Ministry of Commerce and Industry** under the **Foreign Trade (Development and Regulation) Act, 1992**.

Definition

Trade policy is the combination of measures through which a country regulates its international trade - using tariffs, quotas, licensing, subsidies and trade agreements - to achieve national economic goals.

1.2 Two broad approaches

Approach	Meaning	Tools
Free trade (liberal)	Little government control	Low tariffs, open markets, FTAs
Protectionism	Shield home industry from imports	High tariffs, quotas, import licences, subsidies

1.3 Evolution of India's trade policy



- **1947-1990:** inward looking; high tariffs, licence raj, import substitution
- **1991:** New Economic Policy - removal of licences, reduction in tariffs, rupee made convertible on current account
- **2000s:** SEZ Act 2005, export promotion, WTO membership (since 1995)
- **2015-2020:** Make in India, Atmanirbhar Bharat; Foreign Trade Policy 2015-20
- **2023: Foreign Trade Policy 2023** came into effect on **1 April 2023**; it has no fixed end date and is updated as needed

1.4 Nature of trade policy

- **Government policy:** framed and enforced by the Government of India
- **Dynamic:** changed often to suit global conditions (tariff changes, duty drawback rates)
- **Integrated:** connected with industrial, fiscal and monetary policy
- **Regulatory and promotional:** controls harmful imports and promotes exports
- **Balance of payments oriented:** tries to keep the external account healthy

- **Linked with international rules:** must follow WTO commitments
- **Both short term and long term:** yearly incentives and long term target (2 trillion dollar exports by 2030)

2. Significance, Functions and Advantages

2.1 Significance

- **Earns foreign exchange** through exports to pay for imports (oil, gold, electronics)
- **Promotes economic growth** by widening markets for Indian producers
- **Creates employment** in textiles, gems, IT, leather and agriculture
- **Helps balance of payments** by controlling imports and boosting exports
- **Protects domestic industry** from unfair foreign competition (anti-dumping)
- **Attracts technology and investment** through open trade
- **Strengthens diplomatic ties** through trade agreements
- **Supports self-reliance** (Atmanirbhar Bharat) in key sectors

2.2 Functions

- **Regulation:** controls what can be exported or imported (restricted, prohibited, SCOMET list)
- **Promotion:** gives incentives such as RoDTEP, duty drawback, EPCG
- **Protection:** tariffs, safeguard and anti-dumping duties
- **Facilitation:** single window, digital customs, faster clearances (ease of doing business)
- **Diversification:** opens new markets and products
- **Revenue:** customs duty is a source of government revenue

2.3 Advantages of a good trade policy

- Higher **exports and foreign exchange** reserves
- **Efficient use of resources** by specialisation (comparative advantage)
- **Lower prices and more choice** for consumers
- **Competition** improves quality and technology of Indian firms
- **Economies of scale** because of bigger markets
- **Stable and predictable** environment for exporters
- Helps **MSMEs and farmers** reach global buyers

2.4 Instruments of trade policy

Instrument	Meaning
Tariffs	Customs duty on imports
Quotas	Quantity limit on imports/exports
Subsidies / incentives	Support to exporters
Licensing	Permission needed to trade

Non-tariff barriers	Quality standards, SPS rules, labelling
Trade agreements	FTAs, PTAs, CEPAs

3. Magnitude and Direction of Indian International Trade

3.1 Magnitude (size) - FY 2025-26 (provisional)

Item	Value (US$ billion)
Merchandise exports	about 441.8
Merchandise imports	about 775.0
Merchandise trade deficit	about 333.2
Services exports	about 418.3
Services imports	about 204.4
Total exports (goods + services)	about 860.1 (record)
Overall trade deficit	about 119.3

Key observations

(1) Goods exports grew only about 0.9% while imports rose about 7.4%, so the goods deficit widened. (2) Services exports grew about 7.9% and give a large **services surplus** of about 214 billion dollars, which partly offsets the goods deficit. (3) FY 2024-25 total exports were about 825 billion dollars.

3.2 Composition of exports and imports

Exports	Imports
Engineering goods, electronics (smartphones), petroleum products, gems and jewellery, drugs and pharma, textiles and garments, rice, marine products	Crude oil and gas, gold and silver, electronics and components, machinery, coal, fertilisers, vegetable oils, chemicals

- Share of **manufactured goods** is about 70% of exports
- **Electronics** (mobile phones) and **engineering goods** are growing fastest
- Crude oil, gold and electronics make up the biggest part of imports

3.3 Trends over years

1950-51: very small trade → 1991: reforms begin → 2000s: rapid growth → 2025-26: 860 bn dollars (goods + services)

- India's share in world merchandise exports is only about 2 percent ; target is to reach much higher by 2047
- Trade-GDP ratio has grown after 1991 reforms, showing deeper integration with the world

3.4 Direction of trade

Meaning

Direction of trade means the countries and regions with which a country trades , i.e. its main export destinations and import sources.

Rank	Main export destinations	Main import sources
1	USA (about 87 bn dollars in FY26)	China
2	UAE	Russia
3	Netherlands	UAE
4	UK, China, Hong Kong	USA, Saudi Arabia, Iraq

- In 2025-26 China overtook the USA as India's largest trading partner (total trade about 151 billion dollars), mostly imports
- India has a large trade deficit with China (over 100 billion dollars), and about two thirds of the goods deficit is with a few partners
- The USA remains the biggest export market; in 2025 high US tariffs affected Indian exports, and an interim US trade framework was announced in February 2026
- Diversification is happening: growth to Spain, Vietnam, Sri Lanka, Hong Kong and the UAE
- Region-wise: Asia has the largest share, followed by Europe and North America

4. Bilateral and Multilateral Trade Agreements

4.1 Types of trade agreements

Type	Meaning	Example
Unilateral	One country gives concessions	GSP given by developed countries
Bilateral	Between two countries or blocs	India-UAE CEPA, India-UK CETA
Regional / Plurilateral	Among a group of countries	SAFTA, ASEAN-India, BIMSTEC
Multilateral	Among many countries under one system	WTO / GATT
PTA	Reduced tariff on selected goods	India-Mercosur PTA
FTA	Tariffs removed on most goods	India-ASEAN, India-Sri Lanka
CEPA / CECA / TEPA	FTA + services, investment, cooperation	India-UAE CEPA, India-EFTA TEPA

4.2 Bilateral agreements of India

- **India-UAE CEPA** (in force 1 May 2022) - gold, jewellery, textiles, services; target 100 billion dollars trade
- **India-Australia ECTA** (in force 29 Dec 2022) - early harvest trade agreement
- **India-EFTA TEPA** (Switzerland, Norway, Iceland, Liechtenstein) - signed 10 March 2024, **in force 1 October 2025** ; includes a **100 billion dollars investment commitment over 15 years**
- **India-UK CETA** - signed **24 July 2025** ; in force from **15 July 2026** ; duty free access for about 99% of Indian exports by value; companion Double Contribution Convention
- **India-Oman CEPA** - signed December 2025
- **India-New Zealand FTA** - concluded December 2025 and signed April 2026
- **India-EU FTA** - **concluded 27 January 2026** , called the "mother of all deals"; covers 27 countries and nearly 2 billion people; now in legal scrubbing and ratification
- **India-US interim trade framework** - announced February 2026 to lower tariffs and ease trade tension; talks for a full agreement continue

- Older agreements: India-Sri Lanka FTA (2000), India-Singapore CECA (2005), India-Japan CEPA (2011), India-South Korea CEPA (2010), India-Malaysia CECA

4.3 Regional and multilateral arrangements

- **SAFTA** (South Asian Free Trade Area, 2006) and **APTA** (Asia Pacific Trade Agreement)
- **ASEAN-India FTA** (goods in force from 2010)
- **BIMSTEC** , **SAARC** , **BRICS** (cooperation, New Development Bank)
- India **did not join RCEP** (2019) because of fear of a flood of Chinese imports and a growing trade deficit
- **WTO:** India is a founding member of GATT (1947) and WTO (1995); supports a rule based system

and developing country interests (food security, subsidies)

- **IPEF** and the **India-Middle East-Europe Economic Corridor (IMEC)** are newer strategic initiatives

4.4 Benefits and concerns of trade agreements

Benefits	Concerns
Wider market access, higher exports	Imports may rise, hurting local industry
Lower cost of inputs	Trade deficit may widen (e.g. with ASEAN)
Investment and technology	Pressure on farmers and dairy
Integration into global value chains	Complex rules of origin, non-tariff barriers
Employment in labour intensive sectors	Loss of policy space

> **Note**
> FTAs bring benefits only if exporters actually use them; the **utilisation rate** and rules of origin compliance matter. Trade diversion and misuse through third countries must be checked.

5. EXIM Policy / Foreign Trade Policy

5.1 Meaning

EXIM policy means the policy regarding **export and import** of goods and services. It was announced for five years (1992-97 onwards) and renamed **Foreign Trade Policy (FTP)** in 2009. **FTP 2023** is the current policy.

5.2 Foreign Trade Policy 2023 - Highlights

Incentive to remission → **Collaboration** → **Ease of business** → **Emerging areas**

- **Effective date:** 1 April 2023, **without a fixed end date** ; updates when needed
- **Target:** exports of **2 trillion dollars (goods + services) by 2030**
- **Shift from incentive to remission:** exporters get refund of duties/taxes (RoDTEP, RoSCTL) instead of direct subsidies
- **Export promotion through collaboration:** Exporters, States, Districts and Indian Missions abroad work together - **District as Export Hubs** initiative
- **Ease of doing business:** reduced fees, digital processes, paperless filing, **Advance Authorisation, EPCG** schemes made easier
- **Emerging areas:** e-commerce exports, SCOMET (dual use items) policy, developing **Towns of Export Excellence**
- **Status Holders:** One star to five star export houses get benefits and trust based facilities

» **Amnesty scheme** for pending EPCG and Advance Authorisation obligations

5.3 Important export promotion schemes

Scheme	Purpose
RoDTEP	Refund of duties and taxes on exported products (not refunded earlier)
RoSCTL	Refund of state and central taxes on garments and made-ups
EPCG	Zero duty import of capital goods against export obligation
Advance Authorisation	Duty free import of inputs used in export product
Duty Drawback	Refund of customs and excise duty on inputs
SEZ / EOU	Tax and duty free units for exports
PLI Schemes	Production linked incentive for manufacturing and exports
Export Promotion Mission	Umbrella scheme (approved 2025) for credit, market access and branding

5.4 Other measures to promote trade

- **Interest equalisation** , export credit by banks at lower rates (priority sector)
- **Trade fairs and buyer-seller meets** by EPCs (Export Promotion Councils)
- **Single Window (ICEGATE, Customs)** , faceless assessment, e-BRC
- **Rupee trade settlement** and local currency payments with more countries
- **Logistics:** PM Gati Shakti, National Logistics Policy, dedicated freight corridors

5.5 Import policy

- Goods are classified as **free, restricted, canalised and prohibited**
- Import of restricted items needs a licence from **DGFT** (Directorate General of Foreign Trade)
- Customs duty rates set by the Union Budget; **anti-dumping and safeguard duties** by DGTR
- **Quality Control Orders (QCOs)** and standards (BIS) are used to check poor quality imports

6. EXIM Bank of India

6.1 About

Export-Import Bank of India was set up on **1 January 1982** under the **EXIM Bank Act, 1981** . It is a **wholly Government owned** specialised financial institution, headquartered in **Mumbai** with offices in India and abroad.

6.2 Objectives

- Provide **financial assistance** to exporters and importers
- Act as the **principal financial institution** for coordinating the working of institutions engaged in financing exports and imports
- Promote **cross border trade and investment**

6.3 Functions and role

» **Export credit:** pre-shipment and post-shipment credit to exporters (direct and through banks)

» **Lines of Credit (LoC):** loans to foreign governments and banks to buy Indian goods and services; supports Indian projects in Africa, Asia, Latin America

» **Buyer's credit:** loans to overseas buyers for imports from India

» **Overseas investment finance:** help to Indian companies setting up joint ventures abroad

» **Term loans and guarantees:** for export oriented units, import of technology, and project exports

» **Advisory and information services:** market research, country reports, exporter training

» **Support to MSMEs and agri exporters;** supports "Make in India" and "Atmanirbhar Bharat"

» **Development finance:** manages Government lines of credit under India's development cooperation

Role summary

EXIM Bank fills the gap that commercial banks leave - long term, high risk export finance - and helps Indian firms become global.

7. Balance of Payments (BoP)

7.1 Meaning

Balance of Payments is a **systematic record of all economic transactions** between the residents of a country and the rest of the world during a given period (usually one year or a quarter). It is based on **double entry book keeping**: every transaction has a **credit** (receipt) and a **debit** (payment), so the BoP **always balances in accounting terms**.

Definition - Kindleberger

The balance of payments of a country is a systematic record of all economic transactions between the residents of the reporting country and the residents of foreign countries during a given period of time.

- **Credit items (+):** exports, receipts of foreign exchange, inflow of capital, remittances received
- **Debit items (-):** imports, payments of foreign exchange, outflow of capital, payments abroad

7.2 Balance of Trade vs Balance of Payments

Basis	Balance of Trade (BoT)	Balance of Payments (BoP)
Meaning	Exports minus imports of goods	All transactions - goods, services, capital
Scope	Narrow (visible items)	Wide (visible, invisible and capital)
Balance	Can be surplus or deficit	Always balances in books; may show deficit or surplus in the "autonomous" items
Components	Only merchandise	Current account + Capital account

7.3 Structure and major components



7.4 Current account

Records transactions of **goods, services, income and transfers**. It shows how much the country earns from the world and spends on the world.

- **Merchandise (visible) trade:** exports and imports of goods = **Balance of Trade**
- **Invisibles:** (a) **Services** - IT and software, travel, transport, banking, insurance; (b) **Income** - interest, dividends, profit; (c) **Transfers** - remittances from Indians abroad, gifts, grants

India's pattern

India has a large **merchandise deficit**, partly covered by a large **surplus in services** (software exports) and **private transfers (remittances, among the highest in the world)**. The result is a modest **current account deficit (CAD)**.

7.5 Capital and financial account

Records transactions that **change assets and liabilities** of the country.

- **Foreign investment: FDI** (Foreign Direct Investment) and **FPI** (Foreign Portfolio Investment)
- **Loans:** external commercial borrowings (ECB), trade credits, external assistance
- **Banking capital:** NRI deposits (FCNR, NRE) and bank borrowing
- **Rupee debt service and other capital**
- **Change in foreign exchange reserves** (balancing item)

7.6 Other items

- **Errors and omissions:** balancing figure because of mistakes in data
- **Official reserve transactions:** forex reserves of RBI, gold, SDRs with IMF

7.7 Autonomous vs accommodating items

Autonomous items	Accommodating items
Done for profit, independent of BoP position	Done to cover the deficit or surplus
Exports, imports, FDI	Borrowing from IMF, drawing down reserves

Deficit/Surplus meaning

BoP is in **deficit** when autonomous receipts are less than autonomous payments (so reserves fall). It is in **surplus** when receipts exceed payments (reserves rise).

8. Disequilibrium in Balance of Payments

8.1 Meaning

BoP disequilibrium means an imbalance - **deficit** (payments more than receipts) or **surplus** - in the autonomous items of BoP. For developing countries like India, the common problem is **deficit** .

8.2 Types of disequilibrium

Type	Cause / feature
Cyclical	Business cycle - boom or recession in trading partners
Secular (long term)	Slow structural change in the economy - imports rise faster than exports
Structural	Change in demand, supply or technology (e.g. shift to electronics)
Temporary / seasonal	Short lived, e.g. monsoon failure, oil price shocks
Fundamental	Persistent deficit needing deep correction

8.3 Causes of BoP disequilibrium in India

- **High import bill:** crude oil (about 85 percent imported), gold, electronics, coal, fertiliser
- **Low and uncompetitive exports:** poor infrastructure, high logistics cost, quality problems
- **Rapid population growth and rising consumption** increasing import demand
- **Developmental imports:** machinery and technology for industrialisation
- **Inflation at home** makes exports costly and imports cheaper
- **Exchange rate changes:** a weak rupee raises the import bill
- **Global slowdown and trade barriers:** low demand abroad, tariffs (e.g. US tariffs 2025)
- **Geopolitical shocks:** wars, supply chain breaks, rise in crude price
- **Capital outflows:** foreign investors selling shares when global interest rates rise

» **Debt servicing and dividend payments** to foreigners

» **Speculative flows and political instability**

8.4 Example: 1991 crisis

In 1991 India's forex reserves fell to barely enough for **about three weeks of imports**, after the Gulf War oil shock and high fiscal deficit. India pledged gold and took IMF help, then began **LPG reforms**.

8.5 Correction measures for BoP disequilibrium

A. Monetary measures

Deflation and credit control: higher interest rates reduce domestic demand and imports.

Devaluation / depreciation: a lower rupee makes exports cheaper and imports costly. **Exchange control** to restrict forex use.

[B. Fiscal measures] Reduce government expenditure and raise taxes to lower demand for imports; **export subsidies and tax breaks** (RoDTEP, drawback); cut non-essential imports.

[C. Trade measures] **Export promotion:** incentives, SEZ, EPCs, new FTAs; **Import control:** tariffs, quotas, QCOs, licensing; **import substitution:** make in India, PLI, domestic oil exploration, renewable energy.

[D. Capital account measures] Attract **FDI, NRI deposits, ECBs**; liberalise foreign investment rules; borrowing from **IMF, World Bank**; use **forex reserves** when needed (India holds one of the largest reserves in the world, well above 600 billion dollars).

8.6 Other steps

- **Promote tourism and services exports** (IT, BPO, medical tourism)
- **Encourage remittances** through banking channels
- **Reduce oil dependence:** ethanol blending, EVs, solar, green hydrogen
- **Gold import control:** gold monetisation scheme and sovereign gold bonds
- **Rupee trade settlement** reduces dollar demand
- **Diversify markets** through FTAs (UK, EU, EFTA, Oman, New Zealand)

8.7 Evaluation

Measure	Strength	Weakness
Devaluation	Quick boost to exports	Raises import cost and inflation
Deflation	Reduces imports	Slows growth and jobs
Import control	Quick relief	Retaliation, WTO limits, black marketing
Export promotion	Long term solution	Takes time; needs infrastructure

Conclusion

In the long run the best solution is to **raise productivity and competitiveness**, so that exports grow faster than imports, and to attract stable capital such as FDI.

9. Important Questions and Quick Revision

Short answer (5 marks)

- Define trade policy. Explain its significance and functions.
- Explain the direction of India's foreign trade.
- Differentiate between Balance of Trade and Balance of Payments.
- What is RoDTEP? What is EPCG?
- Write a note on EXIM Bank.

Long answer (10 marks)

- Discuss the magnitude and direction of India's international trade.
- Explain India's major bilateral and multilateral trade agreements.
- Explain the highlights of Foreign Trade Policy 2023 and the role of EXIM Bank.
- Explain the structure and components of Balance of Payments.
- What are the causes of disequilibrium in BoP? Suggest correction measures.

Quick revision sheet

Topic	Remember
FTP 2023	From 1 April 2023, no end date, target 2 trillion dollars by 2030
FY26 trade	Exports 860 bn (goods 442 + services 418); goods deficit 333 bn
Top partners	USA (exports), China (imports; largest trade partner in FY26)
FTAs	UAE, Australia, EFTA, UK (in force Jul 2026), Oman, NZ, EU (concluded Jan 2026)
EXIM Bank	Set up 1982; export credit, LoC, buyer's credit
BoP	Current account + Capital account + Errors + Reserves